

ment, there is little choice but to hold savings in a form that will retain value. Unfortunately, gold is likely to fall precipitously during the deflation, in fact as much as 55%-80% from its 1995 high. So even the gold bugs will lose money initially. If gold falls below \$200 per ounce, though, it will be time to plan a major move into real money at the target levels given in Chapter 17, as it is unlikely ever to see the \$100s again after it bottoms in that area.

At the ultimate bottom, gold mining shares and collector coins, though very inexpensive, will probably be less attractive than bullion and bullion style coins, for several reasons. First, in the next multi-decade recovery, prosperity will return, but not to the best levels of the 19th and 20th centuries. The premium that most people will be able to pay for rarity or collectibility in coins will therefore be far less than in the 1980s. Second, throughout most of the Grand Supercycle bear market, even during its countertrend advances, global social conditions will be relatively unstable. Mining shares are pieces of paper, the value of which is dependent upon corporate health and the sanctity of private property. During difficult times, governments become increasingly willing to confiscate assets, and both the mines themselves and paper assets such as domestic stock certificates might offer easy targets. Strikes and even foreign conquest could present risks. Indeed, the more difficult the situation becomes for mines, the greater will be the probability, and therefore the fear, of a constriction of supply, which will raise the relative value of existing bullion. Therefore, when the time comes to convert cash to real money, non-numismatic gold coins will probably be the most prudent choice.

Since depression inevitably results in social upheaval, you may wish to "invest" in some areas that are normally outside the realm of investment discussion. Learn an additional skill in your spare time, one that will be of use if your current skills become worthless in a depressionary or chaotic environment. Obtain a residence in an area that is unlikely to be the target of mob violence or looting. Move as much money out of the U.S. banking system as you comfortably can. Have some paper currency and a bag of silver coins on hand for emergency purchases if the banks close. Insure food supplies for what is likely to be a brief period of unavailability of basic necessities. Investigate alternative countries or continents if the government becomes unbearably oppressive or a serious military conflict appears imminent any time in the years ahead. I also suggest that you arrange to help provide food and/or shelter for local